

It looks pretty bad, right? You need \$18,000 a year to live and you have only \$5,800 or \$6,700, depending on your net worth.

But let's take a closer look. Your interest income is \$24,000 or \$30,000. That's far more than you need to live. Your only concern is that your capital grows less than inflation. How bad is that?

It could mean trouble if your capital erodes, say, fifteen years in a row. But you can withstand some bad years with your \$100,000 cushion. If you don't have a cushion, your \$400,000 will be worth less and less. But you can stand a little of that, too. Your simply amortizing your capital over your lifetime. And as you get older you'll get a helping hand from other sources. If you're vested in your company's pension plan, for example, you'll start receiving checks at age 55 or 60. You may inherit some money, maybe even a lot of money. Pension plans and inheritance can bail you out if your capital erodes too far. And Social Security kicks in at age 62.

SOCIAL SECURITY

If you're a very early retiree, it's futile to try to guess what your Social Security check might be. For one thing, Congress changes the Social Security laws every year. It's hard to predict next year's changes. It's impossible to predict the cumulative changes over the next ten or twenty years. And remember that tens of millions of baby boomers will reach old age about the same time you do. It's a cinch that Congress will delay eligibility dates, say from age 62 to 65, and reduce benefits.

So, very early retirees can make only a wild guess as to the amount of their Social Security checks. But if you've paid the maximum Social Security tax for, say, twenty years, you'll likely receive a healthy benefit. It matters little whether you retire young or continue to work.

In studying the Social Security system, I've found it help-